

CONTRACT OF LEASE

This **CONTRACT OF LEASE** (the "Contract", for brevity), made and entered into by and between:

Mr. Jaber N. Jalbuena (doing business under the name "Jabsy's Office Space Rentals"), both of legal age, Filipinos and with residential address at **14 Nadera St., Tayabas City, Quezon Province Philippines** (the "**LESSOR**")

-and-

The **DEVELOPMENT BANK OF THE PHILIPPINES (DBP)**, a government financial institution duly created and operating under Executive Order No. 81 dated December 3, 1986, as amended by Republic Act No. 8253 dated February 14, 1998, duly represented in this Contract by its First Vice President and Head of Regional Marketing Center- Southern Tagalog **ABELARDO L. MONARQUIA**, with principal office at DBP Building, Corner Makati and Sen. Gil Puyat Avenues, Makati City, Philippines (the "**LESSEE**").

(Collectively, the "Parties")

WITNESSETH: THAT

WHEREAS:

1. The LESSOR is the registered owner of a parcel of land covered by **Tax Declaration No. A-00-0010-00061 (for land) and TCT No. 066-2014000367**, together with the 2-Storey Commercial/Residential Building erected thereon, situated at **46 Nadera St., San Diego Zone I, Tayabas City Quezon Province**, a photocopy of which is hereto attached as Annex "**A**."
2. The LESSOR has agreed to lease to the LESSEE the Ground Floor of the aforesaid 2-Storey Commercial/Residential Building with a floor area of approximately **FIFTY (50)** square meters excluding parking slots.
3. The LESSEE has agreed to lease said Ground Floor as per Building Plan attached to this Contract as Annex "**B**" (hereinafter referred to as the "Leased Premises") under such terms and conditions herein set forth.

NOW, THEREFORE, for and in consideration of the foregoing premises and the covenants and stipulations hereinafter set forth, the LESSOR hereby leases to the LESSEE the Leased Premises subject to the following terms and conditions:

- I. **TERM** – This Contract shall be for a period of **TEN (10) YEARS**, commencing on the date of issuance of Notice to Proceed to be issued by the LESSEE which is hereby deemed to form an integral part of this Contract. The Contract term of ten (10) years is inclusive of **one-month** rent-free construction period for the LESSEE's construction of the interior offices in the Leased Premises.

Witness for the LESSOR

- II. **MONTHLY RENT-** As consideration for this Contract, the LESSEE hereby agrees to pay the LESSOR a monthly rent of **PHILIPPINE PESOS: TWENTY FIVE THOUSAND (P25,000.00) ONLY** inclusive of VAT and other applicable taxes. Provided, the monthly rent shall be increased according to the following schedule:

THIRD YEAR	P25,750.00 inclusive of VAT and other applicable taxes
SIXTH YEAR	P26,522.50 inclusive of VAT and other applicable taxes
NINTH YEAR	P27,318.18 inclusive of VAT and other applicable taxes

The monthly rental shall be paid within the first ten (10) days of each month through crediting to the LESSOR bank account **SA No. 5-11753-620-6** without the necessity of prior demand.

Witness for the LESSEE

The Expanded Withholding Tax (EWT) due to the government shall be withheld by the LESSEE from any payment made to the LESSOR. The EWT deducted by the LESSEE shall be at the rate prescribed by the Bureau of Internal Revenue (BIR) and shall be remitted directly to the BIR. It shall be indicated in the creditable withholding tax return to be filed with the BIR that the tax being withheld is to be credited to the LESSOR. The Certificate of Creditable Tax Withheld at Source shall be submitted by the LESSEE to the LESSOR within fifteen (15) calendar days from receipt of payment by the LESSOR.

- III. **USE OF LEASED PREMISES-** The LESSEE expressly agrees and warrants that the Leased Premises shall be used exclusively for the office and banking activities and operations of the LESSEE's Lucena Branch Extension Office.

The LESSEE shall not introduce, keep, deposit or store in the Leased Premises any noxious and hazardous substance or flammable materials or substance that might constitute a fire, safety and environmental hazard without the prior consent of the LESSOR. The LESSEE shall also not install within the Leased Premises any apparatus, machinery, or equipment, which may cause noxious tremors or noises which might increase exposure of the building to fire hazard and therefore causing an increase in its insurance rate.

The LESSOR shall provide the necessary assistance for the LESSEE to comply with the requirements in securing permits/certification from regulatory bodies, such as building permit, fire safety/drill, "NO SMOKING" requirement, Department of Environmental and Natural Resources (DENR) certification, and others which may be required under the LESSEE'S Environmental Management System (EMS).

- IV. **CONSTRUCTION OF THE INTERIOR OFFICES IN THE LEASED PREMISES-**

Upon turnover of the Leased Premises by the LESSOR to the LESSEE, the LESSEE is hereby allowed to undertake any renovation/alterations or improvements in the Leased Premises without need of permission from the LESSOR.

Except as specifically provided, any and all such improvements/renovations made by the LESSEE that is permanently attached to, or incorporated in the Leased Premises shall be considered

JABER N. JALBUENA
LESSORDBP By: FVP ABELARDO L. MONARQUIA
LESSEE

Witness for the LESSOR

an integral part of the Leased Premises to be owned by the LESSOR. However, the bank vault door which can be removed by the LESSEE including all movable fixtures and improvements as well as those which may be removed from the Leased Premises without damaging the latter or any part thereof, which were introduced or installed by the LESSEE in or upon the Leased Premises, shall remain the property of the LESSEE and may be removed from the Leased Premises upon termination, expiration or pre-termination of this Contract under paragraphs XVII and XIX hereof, respectively.

Witness for the LESSEE

- V. **CARE OF PREMISES-** The LESSEE hereby agrees to keep the Leased Premises in good and tenantable condition and hereby agrees further to maintain the same in a clean and sanitary state in accordance with existing health rules and regulations, pertinent laws and city ordinances on the matter. The LESSEE further agrees to maintain the interior design of the Leased Premises aesthetically acceptable, and to replace fixtures broken or destroyed through the gross negligence or willful malfeasance of the LESSEE and, upon the expiration of the term of this Contract, to surrender and restore the Leased Premises to the LESSOR in as good and tenantable condition as they were actually found at the beginning of this Contract, reasonable wear and tear excepted. The LESSEE shall not be liable to pay any fee or charge for the maintenance of the aforesaid building.

- VI. **SIGN/SIGNBOARDS** - The LESSEE shall be provided with a space for its signage or signboards within or outside the Leased Premises, as may be deemed necessary or proper by the LESSEE.

- VII. **UTILITIES** - The LESSEE shall pay and defray for its own account all cost of water, telephone, electric light and power and all other utilities in the Leased Premises in addition to the agreed monthly rental. The electric meter, water meter and transformer and other related items therein to be used by the LESSEE shall be for its account and all permits for such improvements to be obtained shall be for the LESSEE's account.

- VIII. **INSURANCE** - The fire insurance for the aforesaid building including that of the Leased Premises shall be for the account of the LESSOR. Insurance for the equipment, furniture and fixtures and any other kind inside the Leased Premises shall be for the account of and in favor the LESSEE.

- IX. **PARKING SPACE** - The LESSEE, its employees and clients shall have access to the parking space in front of the Leased Premises.

- X. **RULES AND REGULATIONS** - The LESSEE shall comply with any and all reasonable rules which may be promulgated from time to time by the LESSOR provided that the LESSEE is properly notified thereof. The LESSEE shall also comply with all the rules and regulations, ordinances and laws made by health or other duly constituted local or national authorities arising from or regarding the use, occupancy and sanitation of the Leased Premises.

- XI. **ACCESS TO PREMISES** - The LESSEE shall, upon prior written request from the LESSOR, allow and give access to the LESSOR or its duly authorized representative to the Leased Premises during fairly reasonable and

JABER N. JAIBUENA
LESSOR

DBP By: FVP ABELARDO L. MONARQUIA
LESSEE

Witness for the LESSOR

convenient hours for inspection, maintenance and repair purposes or undertaking any work necessary for the preservation, conservation, improvement or decoration of the Leased Premises but subject to such conditions and restrictions as the LESSEE shall reasonably impose to ensure the safety and security of the LESSEE's properties and records in keeping with banking practices and banking laws and regulations.

- XII. LIABILITIES FOR SUITS** – The LESSEE shall hold harmless the LESSOR against all actions, damages, and claims whomsoever they may be brought or made by the reason of non-observance or non-performance by the LESSEE of the rules, regulations, ordinances or laws mentioned herein or any of the covenants of this Contract without prejudice to the right of the LESSOR to cancel this Contract in accordance with the penal provision herein contained.

The LESSOR shall not be liable or accountable for any loss or losses that may be suffered by the LESSEE by reason of theft, robbery or any other crimes committed in or about the Leased Premises except when the LESSOR is involved in the crime as a principal, accomplice or accessory.

- XIII. LOSS, INJURY OR DAMAGE TO PERSON OR PROPERTY** – The LESSEE agrees to hold the LESSOR free and harmless from any and all responsibility arising from loss or damage to goods or property or injury to persons that occurred within the confines of the Leased Premises for any cause other than and except when due to the fault, or negligence of the LESSOR, its officers, employees, representatives and/or agents in which case the LESSOR shall be liable for such loss, damage and/or injury.

- XIV. NON-WAIVER** – The acceptance by the LESSOR of a monthly rental after the first ten (10) days of the month it is due and/or acquiescence of the LESSOR in any violation or failure to comply with any provisions, terms and conditions of this Contract by the LESSEE shall not be construed as a condition of such default, violation or failure or as a waiver on the part of the LESSOR of its rights, interest or causes of action arising out of, or from such default, violation or failure. Any violation or failure to comply with this Contract shall be deemed waived by the LESSOR if such waiver is in writing and signed by the authorized representative of the LESSOR.

- XV. ASSIGNMENT, SUB-LEASE, TRANSFER OF RIGHTS** – The LESSEE shall neither assign, sub-lease nor transfer the Leased Premises or any part thereof or any interest therein without the prior written consent of the LESSOR. Violation of this provision shall serve as a sufficient ground for the cancellation of this Contract.

- XVI. DEFAULT OR BREACH** – Should the LESSEE fail to pay the rental stipulated in paragraph II hereof or violate any of the terms and conditions of this Contract, the LESSOR shall have the right to eject the LESSEE from the Leased Premises and to recover and collect from the LESSEE all accrued rental, plus a penalty charge on all accrued rentals at the rate of One Percent (1%) per month computed from the date of default until the date the same are fully paid.

Witness for the LESSEE

JABER N. JAIBUENA
LESSOR

DBP BY: FVP ABELARDO L. MONARQUIA
LESSEE

Witness for the LESSOR

XVII. TRANSFER OF OWNERSHIP -If ownership of the aforesaid building and/or the Leased Premises is transferred to a third party during the term of this Contract or any renewal thereof, the LESSOR commits and undertakes to ensure that in the transfer of ownership documents, the buyer or transferee therein acknowledges and commits honor, maintain and respect the peaceful existence and continuity of the LESSEE's occupancy of the Leased Premises for the unexpired portion of this Contract or any renewal thereof.

XVIII. PRE-TERMINATION OF CONTRACT - The LESSEE may exercise its right to terminate this Contract for any cause or reason provided sixty (60) calendar days advanced notice is served to the LESSOR.

Witness for the LESSEE

XIX. TERMINATION OF CONTRACT - Upon the expiration of the term of this Contract or upon the pre-termination or cancellation of the same as provided for in paragraphs XVI and XIX hereof, the LESSEE shall promptly surrender or return the Leased Premises to the LESSOR in as good and tenable condition as when received by it, reasonable wear and tear excepted, devoid of all occupants, furniture, articles and effects of any kind other than such alterations and/or improvements which, under Paragraph IV of this Contract, shall belong to the LESSOR.

XX. OBLIGATIONS AND WARRANTIES OF THE LESSOR - The LESSOR represents and warrants to the LESSEE that, at the time of the execution of this Contract and during the Lease Period and any of its renewals:

- a. The LESSOR is the absolute owner of the Leased Premises and has an indefeasible right to lease the same;
- b. Excluding those already existing and annotated on the titles upon the signing of this Contract, the Leased Premises shall be free from any and all liens and encumbrances which are in violation or inconsistent with any right of the LESSEE under this Contract;
- c. The Leased Premises is in such condition as to render it fit for the use intended by the LESSEE, and it shall maintain the Leased Premises for the peaceful and adequate enjoyment of the LESSEE, including unhampered ingress and egress to and from thereto, based on the intended use by the LESSEE of the Leased Premises;
- d. The LESSOR shall be responsible for repairs, replacements and maintenance of the Leased Premises (with respect to common area, parking area, foundation or structural components thereof) within a reasonable time and which are necessary to keep the Leased Premises in a tenable condition;
- e. The LESSOR shall be responsible for the payment of any real property tax on the Leased Premises. The term "real property tax" shall mean real estate taxes imposed upon the land and building by the national, provincial and/or city governments or authorities.

JABER N. JALBUENA
LESSOR

DBP By: FVP ABELARDO L. MORAQUIA
LESSEE

XXI. ANNOTATION OF THE LEASE - For the protection of the LESSEE, the subject Contract shall be annotated on the aforesaid tax declaration covering

Witness for the LESSOR

the parcel of land on which the aforesaid building is situated, including the tax declaration covering building itself, and on the certificate of title, and any sale or transfer of the aforesaid parcel of land, the building, or the Leased Premises initiated and perfected by the LESSOR in favor of the third persons shall not affect nor prejudice the leasehold rights of the LESSEE.

XXII. GENERAL PROVISIONS

- a. Any agreement between the parties to this Contract as well as any and all amendments, supplements and addenda to the terms and conditions of this Contract shall be made in writing and duly signed by the parties hereto before the same may be implemented.
- b. The implementation of this Contract as well as any and all amendments, supplements and addenda hereto shall be subject to the applicable rules and regulations issued by the *Bangko Sentral ng Pilipinas* and the *Philippine Clearing House Corporation*.
- c. Any dispute or difference of opinion between the parties as to implementation of the terms and conditions of this Contract shall be settled mutually and expeditiously. A written notice of said dispute or difference of opinion shall be personally served or sent by registered mail at the address which either party indicated in this Contract. In case such dispute or difference of opinion is not settled, any of the parties hereto may terminate this Contract upon at least sixty (60) days prior written notice served to the other party.
- d. In the event of litigation under this Contract, the Parties hereto agree to submit solely and exclusively to the jurisdiction of the proper court of *Tayabas City, Quezon*.
- e. The LESSOR acknowledges that under existing LESSEE's policy, no gift, fee, commission or benefit in favor of any of the LESSEE's officer and/or employees and/or any other persons is required as a condition to, or as an additional consideration for, the award of the Contract to the LESSOR. The LESSOR further acknowledges that under the LESSEE's Code of Ethics, LESSEE's personnel have the duty to report to superior officers any possible violation of the policy.

The LESSOR is aware that the LESSEE is a government-owned corporation and that the receipt by any of the LESSEE's officers and/or employees and/or other persons, as well as the giving by the LESSOR unless opportunely disclosed pursuant to the provisions of Presidential Decree NO. 749 of such gift, fee or commission, are crimes punishable under the provision of the Anti-Graft and Corrupt Practices Act (R.A. No. 3019), Title VII of the Revised Penal Code on Crimes Committed by Public Officers, the Code of Conduct and Ethical Standards for Public Officers and Employees (R.A. No. 6713), the Plunder Law (R.A. No. 7080), as well as under other applicable laws and governing presidential decrees.

Witness for the LESSEE

JABER N. JALBUENA
LESSOR

DBP By: FVP ABELARDO L. MONTERQUIA
LESSEE

The LESSOR further acknowledges LESSEE's policy to refer any such violation to the proper government agency for criminal prosecution.

IN WITNESS WHEREOF, the LESSOR has hereunto signed this Contract on this 19th day of July, 2017 in Lucena City, Quezon Province, Philippines.

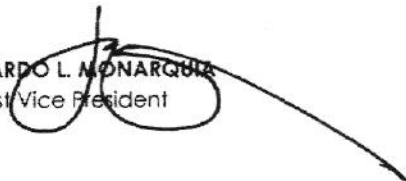
DEVELOPMENT BANK OF THE PHILIPPINES

Lessee

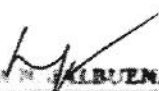
(TIN: 000-449-609)

By:


JABER N. JALBUENA
Lessor


ABELARDO L. MONARQUIS
First Vice President

SIGNED IN THE PRESENCE OF:


J. CARLOS N. JALBUENA, CRP
Witness for the Lessor


JOVELYN O. MENDOZA
Witness for the Lessee

ACKNOWLEDGEMENT

REPUBLIC OF THE PHILIPPINES

) Sc.

BEFORE ME, A Notary Public in and for the City of Lucena on this 19 day of July, 2017 personally appeared:

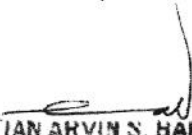
JABER N. JALBUENA



known to me to be the same persons who executed the foregoing instrument and who acknowledged to me that: (a) their signature on the instrument were voluntarily affixed by them for the purpose stated therein; (b) the execution of the said instrument is their free and voluntary act and deed; and (c) for those acting in representative capacities, that they are duly authorized to sign this instrument in such capacities. This instrument refers to a **CONTRACT OF LEASE**, Consisting of six (6) pages and an Annex "A", signed by the parties and their instrumental witnesses.

IN TESTIMONY WHEREOF, I have hereunto set my hand and affixed my notarial seal at the place and on the date first above written.

Doc. No. 246
Book No. 50
Page No. 20
Series of 2017.


CHRISTIAN ARVIN S. BARLAN
NOTARY PUBLIC
UNTIL DECEMBER 31, 2017
ATTORNEY'S ROLL NO. 51592
I.P. O.R. NO. 100730701-02-17 QUEZON
PTR NO. 55876100-01-03-17 QUEZON
TIN: 421-462-421-000

ACKNOWLEDGEMENT

REPUBLIC OF THE PHILIPPINES)

) Sc

Witness for the LESSOR

BEFORE ME, A Notary Public in and for the City of Lucena on this 19th day July, 2017 personally appeared:

FVP ABELARDO L. MONARQUIA
Head, RMC-Southern Tagalog
Development Bank of the Philippines

Witness for the LESSEE

known to me to be the same person who executed the foregoing instrument and who acknowledged to me that: (a) his signature on the instrument was voluntarily affixed by him for the purpose stated therein, and; (b) the execution of the said instrument is his free and voluntary act and deed. This instrument refers to a **CONTRACT OF LEASE**, Consisting of six (6) pages and an Annex "A", signed by the parties and their instrumental witnesses.

IN TESTIMONY WHEREOF, I have hereunto set my hand and affixed my notarial seal at the place and on the date first above written.

Doc. No. 247
Book No. 50
Page No. 20
Series of 2017

CHRISTIAN ARVIN S. BARLAN
NOTARY PUBLIC
UNTIL DECEMBER 31, 2017
ATTORNEY'S ROLL NO. 61562
RP O.R. NO. 1002207101-03-17; QUEZON
PTR NO. 5587610M; 01-03-17; QUEZON
TIN: 421-482-421-000

JABER N. JALBUENA
LESSOR

DBP By: FVP ABELARDO L. MONARQUIA
LESSEE